

Chapter 5 Examples:

1. What does it mean to be *efficient* and why are lump-sum taxes more efficient than proportional income taxes in our model? Hint: Your answer should refer to income and substitution effects.
2. Would lump-sum taxes also be more efficient in the real world? If not, why not? What is a key difference that should be included in the model to better capture real-world tax efficiency?

3. Graph the general equilibrium utility maximization problem from Chapter 5 and show the impact of a decline in TFP (z).
 - a. What happens to the “Max leisure” intercept? Explain why that happens.
 - b. Discuss the impact on Leisure, Labor, Consumption, GDP, and Welfare (utility). Is there any ambiguity? Why or why not?
 - c. What happens to these same US data during economic recessions?
 - d. Do you think the model does a good job of explaining recessions? Why or why not?

4. Graph the general equilibrium utility maximization problem from Chapter 5 and show the impact of a decline in $G(T)$.
 - a. What happens to the “Max leisure” intercept? Explain why that happens.
 - b. Discuss the impact on Leisure, Labor, Consumption, GDP, and Welfare (utility). Is there any ambiguity? Why or why not?
 - c. What happens to these same US data during economic recessions?
 - d. Do you think the model does a good job of explaining recessions? Why or why not?

5. What if there is a cut in G as in question 4, but some elements of G had actually been “productive”? How would your answers to question 4 be impacted in this case? (Note: Don’t ever assume that G is “productive” in a question unless you are explicitly told that is the case!)
- a. What happens to the “Max leisure” intercept? Explain why that happens.
 - b. Discuss the impact on Leisure, Labor, Consumption, GDP, and Welfare (utility). Is there any ambiguity? Why or why not?

6. Graph the general equilibrium utility maximization problem from Chapter 5 and show the impact of an exogenous increase in the MRS out of Consumption into leisure.
 - a. What happens to the “Max leisure” intercept? Explain why that happens.
 - b. Discuss the impact on Leisure, Labor, Consumption, GDP, and Welfare (utility). Is there any ambiguity? Why or why not?